

Unpacking the Motivational Dynamics of PRP: Insights from an Empirical Study of Indian IT Firms

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Abstract

This study aims to understand the motivational impact of Performance-Related Pay (PRP) in the Indian IT industry based on a mixed-methods research. Semi-structured interviews with 10 employees provided qualitative information whereas the quantitative data were collected using a structured questionnaire among 55 respondents. The results show that PRP has a positive effect on professional engagement, performance, productivity, and job satisfaction of employees and it also helps to reduce turnover intention. However, the research also points out that PRP has a great number of disadvantages, such as subjectivity of evaluation, inefficiency of the developmental feedback, work intensification, and overestimation in terms of workload, competitive working conditions, and weakening of team work. Notably, the findings reinforce the importance of intrinsic motivators, that include: autonomy, flexibility, meaningful and challenging work, supportive relationships, skill development and learning opportunities, in workplace motivation. The research finds that PRP does have a beneficial effect on staff motivation but its application should also be thoroughly thought out taking into consideration the adverse effects and the supplementary influence of intrinsic motivation variables.

1. INTRODUCTION

Pay continues to be one of the most influential determinants of employee behaviour (Torrington, Hall & Taylor, 2005), yet ambiguities persist regarding how pay should be effectively determined (Bryson, Charlwood & Forth, 2006). In recent decades, performance-related pay (PRP) has gained prominence as a managerial tool aimed at shaping

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employee behaviour by strengthening the link between performance outcomes and compensation (Gerhart, Rynes & Rynes, 2003; Lee & Eyraud, 2008). Grounded in expectancy and agency theories, PRP assumes that rewards reinforce effort by aligning individual and organizational goals (Lunenburg, 2011). Despite this theoretical foundation, questions remain regarding the universal applicability of these theories (Yuan et al., 2013) and their limited acknowledgement of intrinsic motivation (Frey, Homberg & Osterloh, 2013). While research has identified favourable outcomes associated with PRP—such as increased productivity, improved team performance, and enhanced satisfaction—scholars have also documented concerns related to fairness, objectivity, and the quality of feedback (Bregu, 2013; Murphy, 2020). Given that employee reactions to PRP are often shaped by cultural and contextual factors (Lucio, 2013), this study *aims* to examine the motivational effects of PRP in a comparatively underexplored Indian IT context. It further investigates employees' perceptions of the negative elements of PRP and explores the contribution of intrinsic motivation in influencing work behaviour.

2. REVIEW OF LITERATURE

According to Frey and Jegen (2000), improving the employee motivation is one of the key aims of the majority of performance-related pay (PRP) systems. PRP mechanisms when properly developed can have a significant impact on the motivation and work behaviour of individuals (Boachie-Mensah and Dogbe, 2011). Another point raised by scholars is that PRP may act at the individual and team level, influencing different aspects of the performance of employees (Yuan et al., 2013). According to the literature, there are various mechanisms via which PRP has an effect on motivation, productivity, and work attitudes.

One of the streams of research associates PRP with high productivity. Initial research was mostly based on extrinsic motivation and relied on the agency theory, reinforcement theory, and expectancy theory to understand the need to encourage more by using monetary rewards (Lazear, 2000; Klos, 2006; Lucifora and Origo, 2012; Damiani, Pompei and Ricci, 2013). It was however this focus that tended to come at the cost of the intrinsic motivational factors, which had somewhat less academic coverage. Also, the majority of the empirical studies have been done in Western, publicly sector, or union labor, which restricts the applicability of the results to new economies or privately owned companies (Damiani and Ricci, 2011; Aljumah, 2015; Perry, Engbers and Jun, 2017). However, contrary to this, Kato and

Kodama (2015) using the crowding-out theory argue that the effect of PRP to productivity dwindles under circumstances like lifetime employment and high engagement of employees. According to more recent findings, PRP productivity depends on the combination of several factors such as employee learning, skill development, training opportunities (Kato & Kauhanen, 2018; Iqbal et al., 2018), high-wage policies (Jirjahn, 2016), and work intensification (Ogbonnaya, Daniels and Nielsen, 2017). The second literature deals with the concerns of fairness, teamwork, and recognition. According to some research, PRP systems are perceived by the employees as fair because of their universal implementation in the organization and minimal gender bias (Liinalaakso, 2019; Reilly and Brown, 2021).

On the other hand, many researchers believe that PRP will reinforce bias, discrimination, and subjectivity in performance reviews (Rubin and Edwards, 2020; Forth and Theodoropoulos, 2022). Although PRP has been linked to better group performance (Suff, Reilly and Cox, 2007; Schmutz, Meier and Manser, 2019), critics believe that it is still a conceptual challenge to distinguish between the individual and the team performance (Farrell and Morris, 2004). Moreover, social loafing theories are based on the idea that employees tend to put less effort into the work when they appear in groups, thus sabotaging PRP projects involving groups (Dixit, 2002; Hasnain and Pierskalla, 2012). Proponents nevertheless argue that PRP increases transparency by bringing rewards much nearer to individual effort (Perry et al., 2006; Heinrich, 2007; Ethiraj and Levinthal, 2009; Frey et al., 2013). Park (2021) gives it a twist by indicating that the PRP works best when employees feel that they have well-specified performance goals and a high level of control over their work.

The third theme in the literature is connected with job satisfaction. Some of the studies claim that workers feel more satisfied when their work is properly compensated by the use of PRP (Chiang, 2010; Ismail et al., 2011; Park and Ok, 2021). Nonetheless, critics argue that this perspective has an overly high emphasis on extrinsic rewards, thus not considering intrinsic sources of motivation, i.e., autonomy, meaningful work, and personal growth (Chiang and Fang, 2008; Kang and Yanadori, 2011; Aljumah, 2015; Auer et al., 2021). Bae (2021) also contrasts the outcomes of individual and group-based PRP and states that the former can increase satisfaction, whereas the latter can lead to negative outcomes.

In general, the available literature indicates that the PRP literature is still overly biased toward extrinsic reward systems that tend to lead

to the external motivation crowding. Furthermore, the empirical studies on PRP in an emerging economy or a privately owned company are little and therefore, there is a need to bring PRP in to context in different cultural and organizational backgrounds. This void demonstrates the need to research the role of PRP in non-Western, high-growth settings to produce more detailed theoretical and practical knowledge.

3. METHODOLOGY

This research paper aimed at looking at the motivational impact of the performance-related pay (PRP) system and answer three fundamental research questions:

- What are the motivational outcomes of PRP among the employees in IT Firms?
- What are the perceptions of the employees of the bad qualities of PRP?
- What is the position of intrinsic motivation in the PRP framework?

Methodological Approach

In selecting an appropriate methodological stance, it is essential to consider the broader philosophical foundations underpinning research design. While positivism and interpretivism represent two dominant paradigms (Bryman, 2006), Creswell and Hirose (2019) argue that mixed-methods approaches often provide a more pragmatic and flexible alternative, particularly when the phenomenon under investigation involves both measurable outcomes and subjective experiences. Given that PRP is theoretically well-established yet remains underexplored in certain cultural contexts—especially within Indian technology firms—this study adopted a mixed-methods design. The mixed approach enabled the researchers to capture both numerical assessments of PRP effectiveness and rich qualitative insights reflecting employee experiences. The relatively small sample size and exploratory nature of the research further justified the use of a combined methodological strategy.

Data Collection

Data were collected from employees of IT Firms a major internet technology organisation known for its performance-driven appraisal practices (Tsang, 2007). A concurrent mixed-methods strategy was employed in which qualitative and quantitative data were gathered

simultaneously, with greater emphasis placed on quantitative evidence (Baskerville et al., 2001).

- Qualitative data were obtained through semi-structured interviews with ten employees. The interviews were guided by an open-ended protocol designed to elicit perceptions of PRP, motivational outcomes, and concerns regarding fairness or workload.
- Quantitative data were collected from 55 employees through a structured questionnaire. The instrument was developed based on themes emerging from the literature review and employed a five-point Likert scale to measure attitudes and perceptions related to PRP.

A purposive sampling technique (Etikan, Musa & Alkassim, 2016) was used to ensure the selection of employees with direct exposure to PRP practices. The combination of interviews and survey methods enabled a comprehensive understanding of employee experiences, perceptions, and behavioural responses to PRP.

Method of Analysis

The qualitative interviews, of about a 25-35 minutes, were tape recorded, transcribed word-to-word and subjected to the thematic analysis, following the procedures as described by Braun and Clarke (2006). The case of coding was performed manually, and a couple of similar patterns and conceptual themes were identified. The SPSS was used to analyse the quantitative data and descriptive and inferential methods were applied. Attitudinal and demographic data were summarised using frequency distributions, tables and graphical representations. A one-sample t-test at 5% level was used as the primary inferential test to compare the significance of responses given by employees with a fixed level of significance, which is the neutral level.

Rationalization of Methodological decisions

Traditionally, PRP research has had a Western orientation and has focused on public-sector case studies, in which the cultural norms and employment set up vary significantly compared to the Indian contexts of the Indian private sector technology firms. A mixed-methods design thus enabled exploring a relatively little-researched culturally distinct setting in greater depth in terms of PRP effects. Qualitative and quantitative evidence are integrated which makes methodological triangulation and increases the credibility and strength of results (McVea et al., 1996; Creswell, Fetters and Ivankova, 2004).

The semi-structured interviews allowed the creation of rich contextual information that would be inaccessible to surveys solely, whereas the structured questionnaire gave the standardisation and generalisability of the quantitative methods (Silverman, 2000; Krosnick, 2018). This balance was necessary so that there would be a depth, reliability, and analytical rigor-qualities that are needed in a study that investigates complex motivational constructs.

4. DATA PRESENTATION

Qualitative analysis was used to yield 19 initial codes but they were then combined into seven broad themes (see Appendix III). The results have shown that the PRP system is perceived by the employees to increase their professional interest and work output. These favourable impacts were explained by the following aspects: individual effort recognition, increased job clarity, lower turnover intentions, performance based rewards, financial incentives, and perceived fairness of the appraisal process.

On the other hand, the negativities associated with PRP were also detected by the respondents, with the themes of work intensification, perceived unfairness, and psychological stress being the most eminent. Respondents indicated that they had considerable extra workload, emotional and physical fatigue. It was observed that PRP targets used to be unrealistic and subjective in nature and many of them led to a sense of unfairness. PRP system was also perceived to promote continuous comparison among peers that created too much competition in work environment and undermined team cohesiveness.

Besides these extrinsic motivators, the qualitative data also emphasized the need of intrinsic motivators. The respondents highlighted their importance on autonomy, choice, flexibility, meaningful and enriching work, skill development and continuous learning opportunities as some of their major motivating factors.

The survey was quantitative and gave 55 responses. The demographic analysis has shown that the sample was composed of mainly male employees (58%), and those aged 25-35 years were the most numerous (44%). Almost half of the respondents (49) were in possession of a master-level qualification.

The analysis of reliability showed that all constructs obtained a Cronbachs Alpha more than 0.70, which is the acceptable internal consistency of scales. Moreover, the average scores of all constructs were above 3 as a neutral value, and the t-statistics were below the significance level of 0.05 (see Table 1), which shows that the perceptions

of the respondents were not similar to neutrality.

On the whole, the PRP system increased the motivation of employees to work more and also positively affected their performance and productivity rate. They also reported that PRP brought more clarity about job goals and inspired them to put more efforts on their work. Respondents were known to accept that the PRP mechanism recognised individual input and offered performance based rewards that helped them to be satisfied with the PRP aspect of their compensation package.

These positive results were accompanied by a range of restrictions of the system that employees identified. Issues were raised about the subjective evaluation practices, lack of feedback to work on and work intensification. Certain respondents also observed that the base pay hindered motivation effect of PRP, and some of them also opined that PRP was not sufficient to motivate better performance on its own, and thus, other motivational drivers other than monetary rewards played a role.

Table 1: Descriptive and inferential statistic

Construct	Statement	Cronbach's Alpha	Mean	Std. Deviation	t-value	Sig.
Motivational Effect of PRP	M1	.955	3.64	.890	5.306	.000
	M2		3.80	.704	8.422	.000
	M3		3.56	.938	4.456	.000
	M4		3.53	.766	5.103	.000
	M5		3.65	.751	6.466	.000
	M6		3.64	.890	5.306	.000
	M7		3.47	.836	4.195	.000
	M8		3.58	.896	4.814	.000
	M9		3.47	.900	3.897	.000
Unreasonable Aspects	U1	.932	3.84	.764	8.118	.000
	U2		3.95	.780	8.992	.000
	U3		4.33	.579	16.998	.000
	U4		4.11	.458	17.945	.000
	U5		3.89	.737	8.963	.000
	U6		3.82	.748	8.116	.000

Intrinsic factors	Int1	.878	4.07	.604	13.168	.000
	Int2		4.18	.580	15.105	.000
	Int3		4.49	.505	21.915	.000
	Int4		4.44	.501	21.283	.000
	Int5		4.56	.501	23.169	.000
	Int6		4.42	.567	18.538	.000

Another factor noted by the respondents is that there are various non-PRP aspects that affect their performance at work. They have stressed the significance of intrinsic motivators, such as freedom in performing tasks, freedom to make decisions, good relations with other people, challenging and interesting job descriptions, and availability of training and development opportunities. These internalized facets were seen to be vital in keeping motivation long-term. With regard to the enhancement of the PRP system, 33% of respondents indicated that the basic salary level had to be elevated whereas 31% pointed out that PRP had to be coupled with annual bonuses and promotions to improve the overall efficiency.

5. RESULTS AND IMPLICATIONS

Summary of the Findings

The main objective of the research was to analyze the motivational impact of PRP system among the IT workers. The results show that the employees believed PRP to have a positive impact on their professional involvement, work performance and their productivity. There was also a connection between the system and less turnover intention, and respondents were also satisfied with the PRP percentage of their pay and the PRP system as a whole adopted in the organisation.

The second goal was to determine the unreasonable or negative side of PRP. The findings supported some of the negative perceptions such as subjective performance assessments, the little developmental feedback and intensifying work. Stress, excessive workload, emotional as well as physical exhaustion were noted among the employees. Also, they observed that PRP created an unhealthy competitive workplace, which enhanced the undermining of teamwork and strain among people.

The third aim was that of investigation of the importance of intrinsic motivation in the PRP system. The results showed that intrinsic aspects, including autonomy, freedom of choice, flexibility, encouraging interpersonal relationship, meaningful and challenging work as well as skill development, and learning and training

opportunities are significant in employee motivation in addition to PRP. These facts demonstrate that PRP should not be considered as a single motivator but as a constituent in a larger set of intrinsic and extrinsic rewards, which will collectively cause changes in the behaviour of the employees.

Interpretation

The research results support the motivational value of PRP on the key outcomes of employees, such as performance, productivity, engagement, turnover intentions, and job satisfaction. These findings are consistent with previous studies that found a positive impact of pay-performance to behaviour by Frey and Jegen (2000), Klos (2006), Boachie-Mensah and Dogbe (2011) and Lucifora and Origo (2012), Damiani, Pompei and Ricci (2013) and Bae (2021).

Though Lucio (2013) claimed that effectiveness of PRP is culturally dependent and might not be an effective strategy in non-Western countries, the current research proves that PRP can be effective even in the Indian technology industry. One of the possible reasons is the degree of performance evaluation: the studies have considered PRP performance at the individual level, but the cultural barriers to PRP can be even more evident at the group or team level. Therefore, under individual performance evaluation, Indian IT Firms' employees will tend to react to PRP in a similar way as Western employees.

This is in line with the theoretical assumption that rewards strengthen desirable performance (Gerhart et al., 2003; Lee and Eyraud, 2008; Lunenburg, 2011), where the research validates the fundamental assumption under the PRP systems. Meanwhile, the results outline serious adverse effects of PRP, namely, subjective ratings, work-increasing, stress-inducing, and competitive work culture. These are the same anxieties expressed by Bregn (2013), Ogbonnaya et al. (2017), Murphy (2020), Rubin and Edwards (2020), and Forth and Theodoropoulos (2022).

However, it is interesting to note that the research also revealed the negative impact on teamwork, which is contrary to the findings of Farrell and Morris (2004) and Yuan et al. (2013) who found more positive team-related results in the case of PRP. Such a difference can be explained by cultural factors, as well as the phenomenon of social loafing, as interpreted by Lucio (2013), Dixit (2002), and Hasnain and Pierskalla (2012), which might have different effects in fast-paced and highly competitive corporations in India that are in the field of technology.

One of the key lessons in the research is the key position of intrinsic motivation. Intrinsic aspects like autonomy, meaningful and challenging work, interpersonal relationships, skills development, and learning opportunities, which were the top-ranked in the quantitative analysis, were rated highly by respondents. These results can be supported by Frey et al. (2013), Aljumah (2015), Perry et al. (2017), Kato and Kauhanen (2018), Park (2021), and Auer et al. (2021), who claim that external rewards can easily obscure the severe role of intrinsic rewards in maintaining a long-term employee commitment and performance.

In general, the interpretation indicates that PRP can be successfully used to trigger some desirable outcomes, but it has to be supplemented with intrinsic motivation factors and should be applied with cultural and organisational dynamics in mind.

6. DISCUSSION AND RECOMMENDATIONS

This paper has discussed the motivational impacts of the performance related pay (PRP) system in a Indian organisational setting and IT Firm employees. Through the mixed-methods methodology, the study showed that PRP has positive effects on a number of major outcomes, which include performance, productivity, engagement, turnover intentions, and job satisfaction. Meanwhile, employees raised significant issues related to subjective performance appraisals, work intensification, increase in stress, extreme competition, and deteriorating teamwork that also highlights the complexity and multifaceted nature of PRP.

The results also indicated how critical the intrinsic motivators, including autonomy, meaningful and challenging work, interpersonal relationships, the opportunities of skill development, and the possibilities of training access, are in the determination of the overall motivation. These observations show that PRP, although effective to some extent, cannot be used as a single mechanism of keeping employees motivated but should be enhanced with non-financial motivational forces.

There are a number of constraints that can be noted. The research utilized a rather limited sample, used non-probability sampling and concentrated on one firm in the internet technology industry. Also, PRP was studied at the individual level only, the analysis has not covered the possibility of differences in the PRP effectiveness at the group or team level. No comparison group is also a limitation to the generalisability of the findings. The age, level of experience, level of

skill, and cultural norms could also have a certain impact on PRP results but were not discussed thoroughly.

Future studies ought to bear in mind conducting research with a larger and more varied sample as probability-based sampling should be employed to increase the generalisability. A comparative analysis of several industries, especially the emerging economies, would help more in getting the contextual difference in PRP effectiveness. The effects on groups, the use of comparison or control groups, and demographic and cultural moderators of PRP should also be examined by the researchers. Lastly, the scope may be extended to encompass managerial and organisational standpoints, especially that of the HR leaders and the top management, so as to provide a more holistic view of PRP design, application and results.

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